

Year	Corporate Profits				
	Net Corporate Debt (billions)	Before Income Tax (millions)	After Tax (millions)	Percent Earned on Capital S & P Data ^a	Other Data ^b
1950	\$140.2	\$42.6	\$17.8	18.3%	15.0%
1955	212.1	48.6	27.0	18.3	12.9
1960	302.8	49.7	26.7	10.4	9.1
1965	453.3	77.8	46.5	10.8	11.8
1969	692.9	91.2	48.5	11.8	11.3

^a Earnings of Standard & Poor's industrial index divided by average book value for year.

^b Figures for 1950 and 1955 from Cottle and Whitman; those for 1960–1969 from *Fortune*.

The stock market has considered that the public-utility enterprises have been a chief victim of inflation, being caught between a great advance in the cost of borrowed money and the difficulty of raising the rates charged under the regulatory process. But this may be the place to remark that the very fact that the unit costs of electricity, gas, and telephone services have advanced so much less than the general price index puts these companies in a strong strategic position for the future.³ They are entitled by law to charge rates sufficient for an adequate return on their invested capital, and this will probably protect their shareholders in the future as it has in the inflations of the past.

All of the above brings us back to our conclusion that the investor has no sound basis for expecting more than an average overall return of, say, 8% on a portfolio of DJIA-type common stocks purchased at the late 1971 price level. But even if these expectations should prove to be understated by a substantial amount, the case would not be made for an all-stock investment program. If there is one thing guaranteed for the future, it is that the earnings and average annual market value of a stock portfolio will *not* grow at the uniform rate of 4%, or any other figure. In the memorable words of the elder J. P. Morgan, “*They will fluctuate.*”^{*} This means, first, that the common-stock buyer at today's prices—or tomorrow's—will be running a real risk of having unsatisfactory results therefrom over a period of years. It took 25 years for General Electric (and the DJIA itself) to recover the ground lost in the 1929–1932 debacle. Besides that, if the investor concentrates his portfolio on common stocks he is very likely to be led astray either by exhilarating advances or by distressing declines. This is